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Case Number: 26NWCV01309 Hearing Date: August 17, 2026 Dept: D

AUTO FINANCE SOLUTIONS, LLC

V. VIA AUTO FINANCE, LLC, ET AL.

CASE NO.: 26NWCV01309

HEARING: 08/17/2026 @ 9:30 a.m.

#20

TENTATIVE ORDER

Defendant Via Auto Finance,
LLC's demurrer is OVERRULED IN PART and SUSTAINED IN PART.

Plaintiff Auto Finance
Solutions, LLC shall file and serve a Second Amended Complaint within 30 days
of this ruling.

Moving party to give notice.

Defendant Via Auto Finance, LLC
(Defendant) demurs as to the First Amended Complaint (FAC) of Plaintiff Auto
Finance Solutions, LLC (Plaintiff).

Background

On April 27, 2026, Plaintiff
filed the operative FAC against Defendants Via Auto Finance, LLC; State of

California Department of Motor Vehicles; Steve Gordon, solely in his official capacity as Director of the California Department of Motor Vehicles, and Does 1 through 25, asserting ten causes of action: (1) Conversion; (2) Recovery of Identifiable Proceeds; (3) Impairment of Security Interest; (4) Negligence; (5) Unfair Business Practices; (6) Unjust Enrichment & Restitution; (7) Constructive Trust; (8) Accounting; (9) Declaratory Relief; and (10) Injunctive Relief.

The FAC alleges that Plaintiff, a floorplan lender, held title and/or first-priority security interests in vehicles financed for South Coast Mitsubishi and Cerritos Mitsubishi, but the dealers sold those vehicles “out of trust” without paying Plaintiff or obtaining a release. Plaintiff alleges Defendant facilitated and funded those sales without adequately investigating Plaintiff’s interests, thereby impairing Plaintiff’s collateral and diverting proceeds in which Plaintiff claims continuing rights.

On July 13, 2026, Defendant filed the instant motion.

On July 29, 2026, Plaintiff filed an opposition.

On August 10, 2026, Defendant filed a reply.

Legal Standard

As a general matter, in a demurrer proceeding, the defects must be apparent on the face of the pleading or via proper judicial notice. *¿* (Donabedian v. Mercury Ins. Co. (2004) 116 Cal.App.4th 968, 994.) “A demurrer tests the pleading alone, and not the evidence or facts alleged.” (E-Fab, Inc. v. Accountants, Inc. Servs. (2007) 153 Cal.App.4th 1308, 1315.) As such, the court assumes the truth of the complaint’s properly pleaded or implied factual allegations. (Id.) The only issue a demurrer is concerned with is whether the complaint, as it stands, states a cause of action. (Hahn v. Mirda (2007) 147 Cal.App.4th 740, 747.)

Where a demurrer is sustained,
leave to amend must be allowed where there is a reasonable possibility of
successful amendment. (Goodman v.
Kennedy (1976) 18 Cal.3d 335, 348.)
The burden is on the plaintiff to show the court that a pleading can be
amended successfully. (Id.; Lewis v.
YouTube, LLC (2015) 244 Cal.App.4th 118, 226.) However, “[i]f there is any reasonable
possibility that the plaintiff can state a good cause of action, it is error to
sustain a demurrer without leave to amend.”
(Youngman v. Nevada Irrigation Dist. (1969) 70 Cal.2d 240,
245).

Plaintiff is only required to
allege ultimate facts, not evidentiary facts.
(See Committee on Children's Television, Inc. v. General Foods Corp. (1983)
35 Cal.3d 197, 212 [“the complaint should set forth the ultimate facts
constituting the cause of action, not the evidence by which plaintiff proposes
to prove those facts”]; 1 Cal. Affirmative Def. § 10:2 (2d ed.) [allegations of
agency, course and scope of employment, etc. qualify as ultimate facts].) Plaintiff's allegations must be accepted as
true on demurrer. (See Yvanova v. New
Century Mortgage Corp. (2016) 62 Cal.4th 919, 924 [“For purposes of
reviewing a demurrer, we accept the truth of material facts properly pleaded in
the operative complaint”].)

Meet and Confer

Code of Civil Procedure section
430.41, subdivision (a) requires the moving party to meet and confer “in
person, by video conference, or by telephone” in an attempt to resolve a
demurrer's deficiencies five days before the responsive pleading is due. (Code Civ. Proc. § 430.41(a)(2).)

The Court finds that Defendant
has fulfilled the meet and confer requirement.
(See Declaration of Demurring or Moving Party Regarding Meet and
Confer).

Analysis

First

Cause of Action: Conversion

Defendant argues the conversion

claim fails because Plaintiff did not own or have an immediate right to possess the vehicles or sale proceeds until the Dealers breached the floorplan agreements by failing to pay Plaintiff, which occurred only after Defendant had completed its transactions with the Dealers. (Demurrer, pp. 3-6.) Defendant further contends that it never exercised dominion or control over Plaintiff's property because the funds became sale proceeds only once paid to the Dealers, making the Dealers the parties that allegedly wrongfully retained Plaintiff's money. (Ibid.)

In opposition, Plaintiff argues

the conversion claim is adequately pleaded because the FAC alleges that Plaintiff retained title and security rights in the vehicles and their proceeds, had an immediate right to possession once the Dealers defaulted or made unauthorized dispositions, and that Defendant participated in those transactions and exercised dominion or control inconsistent with Plaintiff's rights. (Opp., pp. 5-6.) Plaintiff contends Defendant's position depends on disputed factual and contractual issues that cannot be resolved on demurrer. (Id. at pp. 3-4.)

In reply, Defendant maintains

that Plaintiff fails to overcome the timing problem: under Plaintiff's own allegations, the Dealers' obligation to pay Plaintiff arose "upon" the vehicle sales, meaning Plaintiff's possessory right did not arise until after Defendant had already paid the Dealers and completed its purchase of the RISCs. (Reply, pp. 4-5.) Defendant further argues that Plaintiff cannot avoid that defect through conclusory allegations of an "immediate right to possession" and reiterates that Defendant never retained Plaintiff's proceeds because the money became sale proceeds only when it was paid to the Dealers. (Id. at pp. 2-4.)

The elements of a claim for

conversion are: "(1) the plaintiff's ownership or right to possession of the property; (2) the defendant's conversion by a wrongful act or disposition of property right; and (3) damages." (IIG

Wireless, Inc. v. Yi (2018) 22 Cal.App.5th 630, 650; Berry v. Frazier

(2023) 90 Cal.App.5th 1258, 1271.) The defendant must assert dominion or control over the property, interfering in a manner inconsistent with the plaintiff's rights. (Simonian v.

Patterson (1994) 27 Cal.App.4th 773, 781-782.) The only intent required is the intent to do the act constituting the conversion. (Mendoza

v. Rast Produce Co., Inc. (2006) 140 Cal.App.4th 1395, 1405.)

As to the first element, the FAC alleges that the Dealers granted Plaintiff legal title to, or a first-priority security interest in, the AFS Vehicles; Plaintiff retained the original title documents; the Dealers were not authorized to dispose of the vehicles free and clear of Plaintiff's rights unless Plaintiff was first paid or released its interest; and the Dealers nevertheless sold the vehicles without satisfying the corresponding floorplan advances. (FAC, ¶¶ 14, 16-17, 20-21.) The FAC further alleges that Plaintiff had an immediate right to possession of the vehicles by virtue of the governing floorplan documents, security agreements, title documents, and the Dealers' defaults and unauthorized dispositions. (Id. at ¶ 36.) Although Defendant disputes when any default occurred and when Plaintiff's right to possession arose, those issues depend on the parties' competing interpretations of the underlying floorplan arrangements and are not established adversely to Plaintiff on the face of the FAC.

The FAC is deficient, however, as to the second element. A secured party does not state a conversion claim against a third party merely by alleging that the third party acquired or participated in a transaction involving property subject to a security interest. In *Growth Properties v. Lempert* (1983) 144 Cal.App.3d 983, 987, the court explained that a transferee may be liable for conversion where the secured party is entitled to possession and the transferee deals with the collateral in a manner inconsistent with the secured party's superior rights. Liability is not based solely on the fact that the transferee purchased or received property subject to a prior encumbrance. (Ibid.) There, conversion occurred when the transferee subsequently disposed of the collateral in a manner that rendered the secured party's interest valueless. (Ibid.)

Conversion is a strict liability tort; accordingly, Plaintiff need not allege that Defendant knew of Plaintiff's rights, acted in bad faith, or intended to interfere with them. (*Burlesci v. Petersen* (1998) 68 Cal.App.4th 1062, 1066.) Rather, the relevant inquiry is whether Defendant's own acts constituted an unwarranted exercise of dominion or control over Plaintiff's property.

Here, the FAC alleges that Defendant engaged in transactions involving the AFS Vehicles, paid value, and

thereby “enabled” the Dealers to complete retail sales and transfer possession of the vehicles before Plaintiff was paid or released its interest. (FAC, ¶¶ 22-23, 31, 37.) The FAC then alleges that, “[b]y participating in those transactions,” Defendant exercised dominion and control over the AFS Vehicles. (Id. at ¶ 38.) However, the FAC does not allege facts showing that Defendant assumed control or ownership over the AFS Vehicles or otherwise exercised authority over their disposition. Although Plaintiff alleges that Defendant funded the Dealers’ retail transactions and/or acquired the resulting Retail Paper, it does not allege facts showing how those acts gave Defendant control over the vehicles themselves. The allegation that Defendant thereby “exercised dominion and control” over the vehicles is therefore unsupported by factual allegations describing the asserted exercise of control.

Accordingly, the demurrer to the first cause of action is SUSTAINED WITH LEAVE TO AMEND.

Second

Cause of Action: Recovery of Identifiable Proceeds

Commercial Code section 9315 governs the continuation and perfection of a security interest in collateral and its proceeds. Among other things, the statute provides that a security interest attaches to identifiable proceeds of collateral and addresses the circumstances under which that interest remains perfected.

Although Commercial Code section 9315 provides that a security interest attaches to identifiable proceeds of collateral, the statute defines the scope and continuation of a secured party’s security interest; it does not create an independent cause of action for recovery of proceeds. Section 9607 likewise provides secured parties with collection and enforcement rights, while section 9625 supplies remedies for a failure to comply with Division 9. Plaintiff identifies no authority recognizing a standalone cause of action for “recovery of identifiable proceeds” under these provisions.

Here, the Second Cause of Action is expressly pleaded as a claim for “Recovery of Identifiable Proceeds” under sections 9315, 9607, and 9625. (FAC, ¶¶

44-57.) Plaintiff alleges that its security interest attached to proceeds generated by the disposition of the AFS Vehicles and that some of those proceeds were received or controlled by Defendant. (FAC, ¶¶ 45-51.) Those allegations may establish the existence and scope of Plaintiff's asserted security interest under section 9315, but they do not identify an independent statutory cause of action authorizing recovery against Defendant. Nor does Plaintiff allege that Defendant violated a specific obligation imposed upon it by Division 9 so as to support a damages claim under section 9625.

Accordingly, the demurrer to the second cause of action is SUSTAINED WITH LEAVE TO AMEND.

Third

Cause of Action: Impairment of Security Interest

"A holder of a security interest may maintain an action for the impairment of a security by a third party tortfeasor," whether the impairment is based on intentional or negligent acts. (Baldwin v. Marina City Properties, Inc. (1978) 79 Cal.App.3d 393, 403.) To prevail, a plaintiff must show that it is the holder of the security interest and that the value of the security has been impaired, causing damages. (Id. at 403-404.)

Here, the FAC sufficiently alleges impairment of Plaintiff's security interest. Plaintiff alleges that it held valid and continuing security interests in the vehicles and their proceeds (FAC, ¶ 59); that Defendant participated in transactions transferring the vehicles out of the Dealers' inventory without satisfaction or release of Plaintiff's rights (FAC, ¶ 61); that Defendant's conduct impaired Plaintiff's ability to recover the collateral and enforce its security interests (FAC, ¶¶ 62-64); and that Plaintiff suffered damages, including loss of collateral and identifiable proceeds (FAC, ¶¶ 65-67).

Accordingly, the demurrer to the third cause of action is OVERRULED.

Fourth

Cause of Action: Negligence

Defendant argues the negligence

claim fails because it owed no duty to Plaintiff, had no obligation to police the Dealers' conduct or ensure payment of their obligations, and the economic loss rule bars recovery for Plaintiff's purely financial losses.

In opposition, Plaintiff responds

that Defendant affirmatively participated in the financing transactions despite allegedly knowing or having reason to know of existing floorplan and payoff rights, could have discovered Plaintiff's interests through reasonable inquiry, and that the alleged loss of collateral, impairment of security interests, and identifiable proceeds constitutes injury to property-based rights rather than merely disappointed contractual expectations.

"To succeed in a negligence

action, the plaintiff must show that (1) the defendant owed the plaintiff a legal duty, (2) the defendant breached the duty, and (3) the breach proximately or legally caused (4) the plaintiff's damages or injuries." (Thomas v. Stenberg (2012) 206 Cal.App.4th 654, 662.)

"[I]n general, there is no

recovery in tort for negligently inflicted 'purely economic losses,' meaning financial harm unaccompanied by physical or property damage." (Sheen v. Wells Fargo Bank, N.A. (2022) 12 Cal.5th 905, 922.) The economic loss rule serves to "prevent the law of contract and the law of tort from dissolving one into the other." (Robinson Helicopter Co., Inc. v. Dana Corp. (2004) 34 Cal.4th 979, 988.)

Here, Plaintiff fails to

sufficiently allege that Defendant owed it a duty of care. The FAC alleges that Defendant, as a participant in motor-vehicle retail financing, had a duty to make reasonable inquiry into whether vehicles were subject to another party's title rights, security interests, or payoff requirements before funding or acquiring the Retail Paper. (FAC, ¶¶ 69-71.) However, the existence of a duty is a question of law, and Plaintiff's allegation that Defendant owed such a duty is therefore insufficient by itself.

Plaintiff and Defendant were not

in contractual privity, and the FAC does not allege facts showing that Defendant's transactions with the Dealers were intended to benefit or affect

Plaintiff. Rather, Plaintiff's theory is that Defendant should have investigated the Dealers' title and financing arrangements before purchasing the RISCs in order to protect Plaintiff from the Dealers' failure to satisfy their floorplan obligations. (FAC, ¶¶ 69-77.) California law generally does not impose a duty on one commercial actor to manage its affairs so as to prevent purely economic loss to a third party absent circumstances supporting such a duty.

Plaintiff relies on *Quartz of Southern California, Inc. v. Mullen Bros., Inc.* (2007) 151 Cal.App.4th 901, where the Court of Appeal concluded that a finance company purchasing conditional sale contracts was in a better position to prevent the loss by verifying title before purchasing the contracts. (*Id.* at 910-911.)

In its reply, Defendant distinguishes *Quartz* on the ground that the dealer there did not hold title to the vehicles and therefore could not convey the superior interest it purported to convey, whereas here the Dealers owned the vehicles and created Plaintiff's security interest. Defendant further argues that, because the retail purchasers took the vehicles free of Plaintiff's security interest under Commercial Code section 9320, there was no comparable title defect for Defendant to discover before acquiring the RISCs. The Court agrees that *Quartz* does not establish a general negligence duty requiring a finance company to investigate and protect a third-party floorplan lender's separate contractual rights.

Accordingly, Plaintiff has not alleged facts establishing that Defendant owed it an independent duty of care.

The economic loss rule provides an additional basis for sustaining the demurrer. Plaintiff alleges that Defendant's negligence caused the loss of collateral, identifiable proceeds, and impairment of Plaintiff's secured position. (FAC, ¶¶ 78-79.) These allegations concern the economic value of Plaintiff's security interest and the Dealers' failure to remit proceeds, rather than physical injury or damage to the vehicles themselves. The alleged harm is therefore financial in nature and falls within the general rule barring recovery in negligence for purely economic loss.

Accordingly, the demurrer to the fourth cause of action is SUSTAINED WITH LEAVE TO AMEND.

Fifth

Cause of Action: Unfair Business Practices

Defendant argues the fifth cause of action for unfair business practices fails because Plaintiff cannot establish injury or causation: Defendant paid value for the RISCs in ordinary financing transactions, while any loss resulted from the Dealers' failure to remit the sale proceeds to Plaintiff. Defendant contends the UCL claim improperly seeks to make Defendant responsible for the Dealers' separate contractual obligations.

In opposition, Plaintiff responds that the FAC sufficiently alleges unlawful, unfair, and fraudulent practices based on Defendant's participation in transactions involving vehicles and proceeds allegedly subject to Plaintiff's rights, despite Defendant's knowledge or constructive knowledge of floorplan financing and payoff requirements. Plaintiff further alleges that Defendant's conduct caused it to lose collateral and identifiable proceeds and impaired its secured position, and argues that whether Defendant's conduct was lawful, unfair, or causally connected to those losses presents factual issues that cannot be resolved on demurrer.

To state a claim under Business and Professions Code section 17200 (UCL), a plaintiff must allege an "unlawful, unfair or fraudulent business act or practice." (Bus. & Prof. Code, § 17200.) A cause of action for unfair competition "is not an all-purpose substitute for a tort or contract action." (Cortez v. Purolator Air Filtration Products Co. (2000) 23 Cal.4th 163, 173.)

The UCL "bars 'unfair competition' and defines the term as a 'business act or practice' that is (1) 'fraudulent,' (2) 'unlawful,' or (3) 'unfair.'" (Shaeffer v. Califia Farms, LLC (2020) 44 Cal.App.5th 1125, 1135.) Each prong provides an independent basis for liability. (Ibid.) "[T]he UCL is a chameleon" because, depending on the prong asserted, a UCL claim may resemble any number of statutory or common-law claims. (Aryeh v. Canon Business Solutions, Inc. (2013) 55 Cal.4th 1185, 1196.)

A private plaintiff must also have "suffered injury in fact and [have] lost money or property as a result of the unfair competition." (Bus. &

Prof. Code, § 17204.)

Here, Plaintiff sufficiently alleges a claim under the UCL. The FAC alleges that Defendant engaged in unlawful business practices by participating in transactions involving vehicles and proceeds subject to Plaintiff's security interests and thereby impairing Plaintiff's secured rights. (FAC, ¶¶ 82-89.) As discussed above, Plaintiff has sufficiently pleaded a cause of action against Defendant for impairment of its security interest. Accordingly, that alleged conduct is sufficient, at the pleading stage, to support the "unlawful" prong of Plaintiff's UCL claim.

Plaintiff also sufficiently alleges standing and causation. The FAC alleges that Defendant's challenged conduct caused Plaintiff to lose money or property, including collateral and identifiable proceeds, and impaired Plaintiff's secured position. (FAC, ¶¶ 99-100.) Although Defendant contends that any loss was caused solely by the Dealers' failure to remit the proceeds, that argument disputes Plaintiff's allegations concerning causation and cannot be resolved against Plaintiff on demurrer.

Because conduct need only be unlawful, unfair, or fraudulent to support liability under section 17200, the Court need not determine at this stage whether Plaintiff has also sufficiently alleged the unfair or fraudulent prongs.

Accordingly, the demurrer to the fifth cause of action is OVERRULED.

Sixth

Cause of Action: Unjust Enrichment and Restitution

The elements of unjust enrichment are "receipt of a benefit and unjust retention of the benefit at the expense of another." (Peterson v. Cellco Partnership (2008) 164 Cal.App.4th 1583, 1593.) California courts have differed as to whether unjust enrichment constitutes an independent cause of action. (Compare Durell v. Sharp Healthcare (2010) 183 Cal.App.4th 1350, 1370 (Durell) ["there is no cause of action in California for unjust enrichment"] with McBride v. Boughton (2004)

123 Cal.App.4th 379, 388 [recognizing restitution based on unjust enrichment under a quasi-contract theory].)

Here, Plaintiff alleges that

Defendant received or retained funds, Retail Paper, receivables, payment streams, interest, fees, profits, and other benefits arising from transactions involving the AFS Vehicles, and that retention of those benefits was unjust because Plaintiff held rights in the vehicles and their proceeds. (FAC, ¶¶ 106-115.) However, these allegations are based on the same alleged conduct and seek substantially the same recovery as Plaintiff's other causes of action concerning its asserted rights in the vehicles and identifiable proceeds. Indeed, Plaintiff seeks restitution and disgorgement of the same money, proceeds, profits, interest, fees, and other financial gains allegedly derived from those transactions.

The Court elects to follow those authorities holding that unjust enrichment is not properly pleaded as an independent cause of action where the plaintiff's allegations merely restate the same alleged wrongful conduct and recovery sought through other substantive claims. (See Durell, supra, 183 Cal.App.4th at 1370.)

Accordingly, the demurrer as to the sixth cause of action is SUSTAINED WITHOUT LEAVE TO AMEND.

Seventh

Cause of Action: Constructive Trust

A constructive trust is an equitable remedy, not a substantive cause of action. (American Master Lease LLC v. Idanta Partners, Ltd. (2014) 225 Cal.App.4th 1451, 1485; PCO, Inc. v. Christensen, Miller, Fink, Jacobs, Glaser, Weil & Shapiro, LLP (2007) 150 Cal.App.4th 384, 398 (PCO).) "A cause of action for constructive trust is not based on the establishment of a trust, but consists of fraud, breach of fiduciary duty or other act which entitles the plaintiff to some relief." (Michaelian v. State Comp. Ins. Fund (1996) 50 Cal.App.4th 1093, 1114.) Thus, the pleading requirements are "(1) facts constituting the underlying cause of action, and (2) specific identifiable property to which defendant has title." (Ibid.)

A constructive trust is an involuntary equitable trust created by operation of law to compel the transfer of property from one wrongfully holding it to the rightful owner. (Communist Party v. 522 Valencia, Inc. (1995) 35 Cal.App.4th 980, 990 (Communist Party); Campbell v. Superior Court (2005) 132 Cal.App.4th 904, 920.) Its purpose is to prevent unjust enrichment and to prevent a person from taking advantage of his or her own wrongdoing. (Communist Party, supra, 35 Cal.App.4th at 990.)

Accordingly, because a constructive trust is a remedy rather than an independent cause of action, a separately pleaded cause of action seeking imposition of a constructive trust does not state facts sufficient to constitute a cause of action. (Code Civ. Proc., § 430.10, subd. (e); PCO, Inc., supra, 150 Cal.App.4th at 398; see also Kim v. Westmoor Partners, Inc. (2011) 201 Cal.App.4th 267, 277, fn. 4; Stansfield v. Starkey (1990) 220 Cal.App.3d 59, 76.)

Here, Plaintiff pleads constructive trust as a separate cause of action. Because a constructive trust is an equitable remedy rather than an independent substantive claim for relief, the seventh cause of action does not state a cognizable cause of action.

Accordingly, the demurrer as to the seventh cause of action is SUSTAINED WITHOUT LEAVE TO AMEND.

Eighth
Cause of Action: Accounting

“A cause of action for an accounting requires a showing [1] that a relationship exists between the plaintiff and defendant that requires an accounting, and [2] that some balance is due the plaintiff that can only be ascertained by an accounting.” (Teselle v. McLoughlin (2009) 173 Cal.App.4th 156, 179 (Teselle); see also Sass v. Cohen (2020) 10 Cal.5th 861, 869.) “An action for accounting is not available where the plaintiff alleges the right to recover a sum certain or a sum that can be made certain by calculation.” (Teselle, supra, 173 Cal.App.4th at 179.) The purpose of an accounting is, in part, to determine what, if any, sums are owed to the plaintiff, and an accounting may therefore be used as a discovery device. (Id. at 180.)

Defendant argues the accounting

claim fails because it is derivative of Plaintiff's other causes of action and cannot survive absent a viable underlying claim. Plaintiff responds that it has adequately alleged underlying rights in the proceeds of its collateral and that the amount and location of those proceeds cannot be determined without examination of Defendant's records.

Here, Plaintiff sufficiently alleges a relationship between the parties that may require an accounting and a balance that cannot presently be ascertained without one. Plaintiff alleges that Defendant participated in multiple transactions involving the AFS Vehicles and possesses records identifying the amounts paid or advanced, the contracts and receivables generated, and the amounts Defendant received, collected, reserved, credited, or retained in connection with those transactions. (FAC, ¶¶ 130-132.) Plaintiff further alleges that it cannot determine the amount of proceeds or other sums allegedly owed to it without examining Defendant's books and records because the transactions involve multiple vehicles, payment streams, reserves, credits, and related financial records. (FAC, ¶¶ 133-139.)

Moreover, as discussed above, Plaintiff has sufficiently alleged an underlying claim for impairment of its security interest.

Accordingly, the demurrer as to the eighth cause of action is OVERRULED.

Ninth

Cause of Action: Declaratory Relief

"To qualify for declaratory relief, a party would have to demonstrate its action presented two essential elements: (1) a proper subject of declaratory relief, and (2) an actual controversy involving justiciable questions relating to the party's rights or obligations." (Jolley v. Chase Home Finance, LLC (2013) 213 Cal.App.4th 872, 909, quotation marks and brackets omitted.)

A cause of action for declaratory relief should not be used as a second cause of action for the determination of identical issues raised in another cause of action. (General of America Insurance Co. v. Lilly (1968) 258 Cal.App.2d 465, 470.) "The

availability of another form of relief that is adequate will usually justify refusal to grant declaratory relief” (California Insurance Guarantee Association v. Superior Court (1991) 231 Cal.App.3d 1617, 1624), and a duplicative cause of action is subject to demurrer. (Palm Springs Villas II Homeowners Association, Inc. v. Parth (2016) 248 Cal.App.4th 268, 290).

Further, “there is no basis for declaratory relief where only past wrongs are involved.” (Osseous Technologies of America, Inc. v. DiscoveryOrtho Partners LLC (2010) 191 Cal.App.4th 357, 366, quotation marks omitted.)

Here, Plaintiff sufficiently alleges an actual controversy concerning a proper subject of declaratory relief. The FAC alleges that a present controversy exists between Plaintiff and Defendant concerning their respective rights, interests, and obligations with respect to the AFS Vehicles and the proceeds generated by their sale, financing, assignment, or other disposition. (FAC, ¶ 141.) Plaintiff contends that it holds valid and enforceable title rights or security interests in the AFS Vehicles and their identifiable proceeds and that those rights continued notwithstanding the transactions involving Defendant. (FAC, ¶¶ 142-146.)

Defendant disputes those asserted rights, contending that the retail purchasers took the vehicles free of Plaintiff’s security interest under Commercial Code section 9320, that Defendant acquired the RISCs free of Plaintiff’s claims, and that Defendant does not possess proceeds in which Plaintiff has an enforceable interest. Thus, the parties presently dispute the existence and scope of Plaintiff’s rights in the vehicles, RISCs, and identifiable proceeds.

Nor does the claim concern only completed past conduct. Plaintiff seeks a declaration of the parties’ respective rights and duties concerning the AFS Vehicles and identifiable proceeds and a determination whether Plaintiff is presently entitled to trace, recover, and enforce its asserted rights in those proceeds. Accordingly, the controversy concerns the parties’ present legal rights and obligations, not merely whether Defendant committed a past wrong.

Accordingly, the demurrer as to

the ninth cause of action is OVERRULED.

Conclusion

Based on the foregoing, Defendant

Via Auto Finance, LLC's demurrer to the First Amended Complaint is SUSTAINED
WITH LEAVE TO AMEND as to the first, second, and fourth cause of action.

The demurrer is SUSTAINED WITHOUT
LEAVE TO AMEND as to the sixth and seventh cause of action.

The demurrer is OVERRULED as to
the third, fifth, eighth, and ninth cause of action.

Plaintiff Auto Finance Solutions,
LLC shall file and serve a Second Amended Complaint within 30 days of this
ruling.